Registered number: 02141131

HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED
(formerly NATL. AMUSEMENTS (UK) LIMITED)

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 2 JANUARY 2025

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HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED

COMPANY INFORMATION

Directors	T P Jankowski (resigned 7 August 2025) P J Keough (resigned 7 August 2025) S E Redstone (resigned 7 August 2025) J B Heinzelman (appointed 7 August 2025) E Ryan (appointed 7 August 2025)
Company secretary	L M Martignetti
Registered number	02141131
Registered office	Redfield Way Lenton Nottingham NG7 2UW
Independent auditor	Crowe U.K. LLP Black Country House Rounds Green Road Oldbury West Midlands B69 2DG

HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED

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DIRECTORS' REPORT
FOR THE PERIOD ENDED 2 JANUARY 2025

The Directors present their report and the financial statements for the period ended 2 January 2025.

Results and dividends

The loss for the period, after taxation, amounted to £1,911,324 *(2023: £13,009,448)*.

No ordinary dividends were paid. The Directors do not recommend the payment of a final dividend.

Directors

The Directors who served during the period were:

T P Jankowski (resigned 7 August 2025)
P J Keough (resigned 7 August 2025)
S E Redstone (resigned 7 August 2025)

Future developments

Harbor's cinema business is based exclusively in the UK and so it is exposed to UK economic conditions and consumer confidence. The Company's business and future success depends on the availability of films for screening in its cinemas and appeal of such films to its customers. As a leisure activity, cinema may be affected by general level of consumer spending on leisure activities and may also be affected by changing consumer preferences.

As mentioned in the Strategic Report, the Company continues to face ongoing challenges with fewer blockbuster film releases, competition from streaming platforms and the simultaneous launching of films on those streaming services as well as changes in consumer movie-going behaviour.

On July 7, 2024, the National Amusements, Inc. shareholders entered into a purchase and sales agreement (the Agreement) with Skydance Media (Skydance) to sell National Amusements, Inc. on a cash-free, debt-free basis. In addition, Paramount Global entered into an agreement to merge with Skydance. The transactions closed on August 7, 2025.

Engagement with employees

The Company's policy is to consult and discuss with employees matters likely to affect employees' interests. Information on matters of concern to employees is given through information memos, which seek to achieve a common awareness on the part of all employees. Whenever practical, there is an annual management conference and regular management meetings to inform on matters of interest to employees. Information on any economic and relevant financial factors that impact on the Company's performance are also discussed and then cascaded to employees by way of regular team meetings.

Most of the Company's employees are part time. The Company provides relevant training to its employees and as employment progresses the Company will develop employee's skills to include additional training and new responsibilities. The Company will support ambitious employees to achieve their full potential. Employees will be actively encouraged and supported to progress to more senior positions within the business.

The Company will actively promote equal opportunity across the Company through the application of recruitment policies that ensure staff receive consistent and fair treatment relevant to their aptitudes, skills, abilities and potential. No applicant will be placed at a disadvantage by conditions which are not necessary for the performance of a job. The Company will make every effort, if an existing employee becomes disabled to retrain and retain them, wherever reasonable and practicable.

Engagement with suppliers, customers and others

Customers

The Directors commit considerable time, effort and resources into understanding and responding to the needs of our customers with a view to fostering long term mutually beneficial partnerships. We act to service our customer's needs to the highest standards and work quickly to resolve any isolated disagreements that may arise from time to time.

Suppliers

The Directors have established Company procedures to ensure that external suppliers are individually verified to ensure they meet with the health and safety, regulatory and financial security standards required by the Company. The Company seeks to pay all suppliers any undisputed amounts due and that conform with the Company's billing requirements within agreed terms. The Company has established procedures for dispute resolution in a timely and fair manner.

Community and the environment

The Company takes its role within the community very seriously and promotes and encourages community and charitable contribution. The Company also recognises the importance of its environmental responsibilities and has measures in place to monitor and control its impact on the local environment and its compliance with any regulatory environmental standards. The Company seeks to implement policies aimed at reducing any potential detrimental environmental impact of its activities.

Greenhouse gas emissions, energy consumption and energy efficiency action

The SECR disclosure presents our carbon footprint within the United Kingdom across Scope 1, 2 and to some extent scope 3 emissions, an appropriate intensity metric, the total energy use of electricity, gas and transport fuel and an energy efficiency actions summary taken during the relevant financial year.

	Year to 31st December 2024	Year to 31st December 2023
Energy consumption used to calculate emissions (kWh)	29,900,399	32,585,133
Emissions from combustion of gas (Scope 1) tCO_2e	2,312	2,247
Emissions from combustion of fuel for transport purposes (Scope 1) tCO_2e	62	74
Emissions from business travel in rental cars or employee-owned vehicles where company is responsible for purchasing the fuel (Scope 3) tCO_2e	11	15
Emissions from purchased electricity (Scope 2, location-based) tCO_2e	3,511	4,124
Total gross tCO_2e based on above	5,896	6,461
Intensity ratio (tCO_2e/floor area sq ft)	0.00557722	0.00571436

Energy efficiency action summary

Period to 31st December 2024

Harbor Lights Entertainment (UK) Limited continues to achieve direct savings in energy and associated carbon emissions, through operational and technological improvements, including:

- LED dimmer installation's various locations
- Installation of LED dimmers across multiple locations to improve energy efficiency;
- Upgrades to LED bulbs to enhance lighting performance and reduce energy usage;
- Repairs and replacements of car park lighting systems with LED technology to achieve greater sustainability;
- Deployment of Barco Laser Projectors at various locations to optimize energy consumption and operational efficiency.

Methodology Notes

Reporting Period	1st of January 2024 – 31st of December 2024
Boundary (consolidation approach)	Operational approach
Alignment with financial reporting	SECR disclosure has been prepared in line with Harbor Lights Entertainment (UK) Ltd annual accounts to 31st December 2024.
Reporting method	GHG Emissions reporting are in line with the Greenhouse Gas (GHG) Protocol Corporate Accounting and Reporting Standard
Emissions factor source	DEFRA, 2024 for all emissions factors https://www.gov.uk/government/publications/greenhouse-gas-reporting-conversion-factors-2024
Conversion factor source	Natural Gas and Gasoline: Federal Register EPA; 40 CFR Part 98; e-CFR, June 13, 2017 EPA GHG Emission Factors Hub Diesel: U.S. Energy Information Administration – British Thermal Unit Conversion factors 2020
Calculation method	Activity Data x Emission Factor = GHG emissions Activity Data x Conversion Factor = kWh consumption
Other relevant information on calculation	Where applicable consumption was converted to kWh using conversion factors linked above, while emissions were calculated with the DEFRA emission factors. Transport data was calculated from mileage data to litres to kWh and GHG emissions using the method above. In absence of the exact engine sizes of the vehicles average conversion factors were used to calculate emissions.
Reason for the intensity measurement choice	Following the recommendations of the SECR legislation and based on the nature of our business, floor area (tCO_2e / floor area sq ft) gives the best overview on our efficiency performance on a longer scale.
Rounding	Due to rounding there might be a minor difference compared to the actual GHG emissions (no more than 1%).

DIRECTORS' REPORT (CONTINUED)
FOR THE PERIOD ENDED 2 JANUARY 2025

Disclosure of information to auditor

Each of the persons who are directors at the time when this Directors' report is approved has confirmed that:

- so far as the Director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the Director has taken all the steps that ought to have been taken as a Director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information

Auditor

The auditor, Crowe U.K. LLP, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board and signed on its behalf.

J B Heinzelman
Director

Date: 26 September 2025

STRATEGIC REPORT
FOR THE PERIOD ENDED 2 JANUARY 2025

Introduction

The Directors present their Strategic Report of Harbor Lights Entertainment (UK) Limited (the Company or HLE) for the period ended 2 January 2025. The comparative results for the prior period refer to the period ended 4 January 2024.

Business review

The strategic plan is to maximize operating efficiencies by focusing on the fundamentals of the business. The Company is committed to providing the customer with the ultimate film going experience. The Company has invested in digital and technological innovation such as XPlus, a giant immersive wall-to-wall screen, 3D and recliner seating to enhance the customer experience. The Company maintains the quality of its cinemas by upgrades to luxury seating concepts and expansion of food and drink offerings. In addition, the Company offers an insider loyalty program that reward customers as purchases are made.

Principal risks and uncertainties

The principal risk facing the Company's operations is lower attendance as this impacts both ticket sales and concessions revenue. The number of major grossing films shown in the year contributes to the attendance numbers and overall revenue. The risk to the financial performance is mitigated by a reduction in staff and film hire costs which reduce with lower attendance. Other risks facing the Company's operations are the significant levels of competition in the industry, rising payroll costs due to minimum wage mandates and higher utility costs.

The Company continues to face ongoing challenges with fewer blockbuster film releases, competition from streaming platforms and the simultaneous launching of films on those streaming services as well as changes in consumer movie-going behaviour. It is difficult to predict with any assurance how future film releases, streaming competition and consumer confidence will impact attendance and revenue and the Company's ability to generate positive cash flows from operations in the future.

Financial key performance indicators

The Company's attendance in 2024 was 6.5% lower than in 2023, which has resulted in a 2.9% decrease in turnover. The Company attributes this decrease in attendance to unappealing film product.

Directors' statement of compliance with duty to promote the success of the Company

The Directors act in good faith to make decisions, the outcome of which, they consider will be most likely to promote the success of the Company for the benefit of its members as a whole both in current periods and in the long term.

In discharging their duties above, the Directors carefully consider amongst other matters, the impact on and interests of other stakeholders in the Company and factor these into their decision making process.

This report was approved by the board and signed on its behalf.

J B Heinzelman
Director

Date: 26 September 2025

DIRECTORS' RESPONSIBILITIES STATEMENT
FOR THE PERIOD ENDED 2 JANUARY 2025

The Directors are responsible for preparing the Strategic report, the Directors' report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the Directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED

Opinion

We have audited the financial statements of Harbor Lights Entertainment (UK) Limited (the 'Company') for the period ended 2 January 2025, which comprise the Statement of income and retained earnings, the Balance sheet, the Statement of cash flows and the related notes, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 2 January 2025 and of its loss for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the United Kingdom, including the Financial Reporting Council's Ethical Standard and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw attention to note 2.2 in the financial statements, which indicates that that the Company is reliant on the financial support from its ultimate parent, who have indicated they are supportive of the Company but the support is not legally or contractually binding. The ultimate parents latest financial statements contain substantial doubt about its ability to continue as a going concern, and which may impact the ability of the ultimate parent to continue to provide this support. These matters indicate that a material uncertainty exists that may cast significant doubt over the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

In auditing the financial statements, we have concluded that the Directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our responsibilities and the responsibilities of the Directors with respect to going concern are described in the relevant sections of this report.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED (CONTINUED)

Other information

The other information comprises the information included in the Annual Report other than the financial statements and our Auditor's report thereon. The Directors are responsible for the other information contained within the Annual Report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic report and the Directors' report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic report and the Directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic report or the Directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of Directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Directors' responsibilities statement set out on page 7, the Directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED (CONTINUED)

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

We obtained an understanding of the legal and regulatory frameworks within which the Company operates, focusing on those laws and regulations that have a direct effect on the determination of material amounts and disclosures in the financial statements. The laws and regulations we considered in this context were the Companies Act 2006. We assessed the required compliance with these laws and regulations as part of our audit procedures on the related financial statement items.

In addition, we considered provisions of other laws and regulations that do not have a direct effect on the financial statements but compliance with which might be fundamental to the Company's ability to operate or to avoid a material penalty. We also considered the opportunities and incentives that may exist within the Company for fraud. The laws and regulations we considered in this context for the UK operations were General Data Protection Regulation (GDPR), Anti-fraud, bribery and corruption legislation, environmental protection legislation, Health and safety legislation, Taxation legislation and Employment legislation.

Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the Directors and other management and inspection of regulatory and legal correspondence, if any.

We identified the greatest risk of material impact on the financial statements from irregularities, including fraud, to be in the following areas: timing of recognition of income; the override of controls by management, including posting of unusual journals; inappropriate treatment of non-routine transactions and areas of estimation uncertainty.

Our audit procedures to respond to these risks included enquiries of management about their own identification and assessment of the risks of irregularities, review and discussion of non-routine transactions, sample testing on the posting of journals and income transactions and review of accounting estimates for biases.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non-compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we will be less likely to become aware of instances of non-compliance. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditor's report.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED (CONTINUED)

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Crowe UK LLP

Mark Evans (Senior statutory auditor)

for and on behalf of
Crowe U.K. LLP

Statutory Auditor

Black Country House
Rounds Green Road
Oldbury
West Midlands
B69 2DG

Date: 30/9/2025

STATEMENT OF INCOME AND RETAINED EARNINGS
FOR THE PERIOD ENDED 2 JANUARY 2025

	Note	02 January 2025 £	*04 January 2024 £*
Turnover	4	**89,954,195**	*92,554,870*
Cost of sales		**(30,590,557)**	*(32,109,307)*
Gross profit		**59,363,638**	*60,445,563*
Administrative expenses		**(61,358,035)**	*(73,525,591)*
Operating loss	5	**(1,994,397)**	*(13,080,028)*
Interest receivable and similar income		**83,073**	*70,580*
Loss before tax		**(1,911,324)**	*(13,009,448)*
Tax on loss	8	**-**	*-*
Loss after tax		**(1,911,324)**	*(13,009,448)*
Retained earnings at the beginning of the period		**(68,254,998)**	*(55,245,550)*
Loss for the period		**(1,911,324)**	*(13,009,448)*
Retained earnings at the end of the period		**(70,166,322)**	*(68,254,998)*

There were no recognised gains and losses for the periods ended 02 January 2025 or 04 January 2024 other than those included in the statement of income and retained earnings.

The notes on pages 15 to 26 form part of these financial statements.

HARBOR LIGHTS ENTERTAINMENT (UK) LIMITED
REGISTERED NUMBER: 02141131

BALANCE SHEET
AS AT 2 JANUARY 2025

	Note		02 January 2025 £		04 January 2024 £
Fixed assets					
Intangible assets	9		-		95,044
Tangible assets	10		16,604,364		18,323,250
			16,604,364		18,418,294
Current assets					
Stocks	11	637,783		533,352	
Debtors: amounts falling due within one year	12	7,954,983		6,142,790	
Cash at bank and in hand		10,467,805		5,186,630	
		19,060,571		11,862,772	
Current liabilities					
Creditors: amounts falling due within one year	13	(90,837,545)		(82,455,278)	
Net current liabilities			(71,776,974)		(70,592,506)
Total assets less current liabilities			(55,172,610)		(52,174,212)
Creditors: amounts falling due after more than one year	14		(11,967,375)		(13,029,449)
Provisions for liabilities					
Other provisions	15		(3,026,332)		(3,051,332)
Net liabilities			(70,166,317)		(68,254,993)
Capital and reserves					
Called up share capital	16		5		5
Profit and loss account			(70,166,322)		(68,254,998)
			(70,166,317)		(68,254,993)

The financial statements were approved and authorised for issue by the board and were signed on its behalf by:

J B Heinzelman
Director

Date: 26 September 2025

The notes on pages 15 to 26 form part of these financial statements.

STATEMENT OF CASH FLOWS
FOR THE PERIOD ENDED 2 JANUARY 2025

	02 January 2025 £	*04 January 2024 £*
Cash flows from operating activities		
Loss for the financial period	**(1,911,324)**	*(13,009,448)*
Adjustments for:		
Amortisation of intangible assets	**95,044**	*207,000*
Depreciation of tangible assets	**1,917,645**	*2,019,499*
Loss on disposal of tangible assets	**-**	*7,241*
Interest received	**(83,073)**	*(70,580)*
(Increase)/decrease in stocks	**(104,431)**	*148,806*
Increase in debtors	**(1,812,193)**	*(673,500)*
(Decrease) in creditors	**(37,399)**	*(1,224,759)*
Increase in amounts owed to groups	**8,889,699**	*7,321,972*
Foreign exchange on the amounts owed to groups	**(1,532,107)**	*3,460,752*
(Decrease)/increase in provisions	**(25,000)**	*3,051,332*
Net cash generated from operating activities	**5,396,861**	*1,238,315*
Cash flows from investing activities		
Purchase of tangible fixed assets	**(198,759)**	*(424,357)*
Interest received	**83,073**	*70,580*
Net cash from investing activities	**(115,686)**	*(353,777)*
Net increase in cash and cash equivalents	**5,281,175**	*884,538*
Cash and cash equivalents at beginning of period	**5,186,630**	*4,302,092*
Cash and cash equivalents at the end of period	**10,467,805**	*5,186,630*
Cash and cash equivalents at the end of period comprise:		
Cash at bank and in hand	**10,467,805**	*5,186,630*

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 2 JANUARY 2025

1. General information

Harbor Lights Entertainment (UK) Limited (registration number 02141131) is a limited company incorporated in England and Wales. The registered office is Redfield Way, Lenton, Nottingham, NG7 2UW.

The principal activity of the Company is the operation of state-of-the-art multiplex cinemas located within the UK under the Showcase Cinema and Cinema de Lux brands.

On 10 September 2025, the Company changed its name to Harbor Lights Entertainment (UK) Limited.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the Company.

2.2 Going concern

At the time of approving the financial statements, the Directors have a reasonable expectation that the Company has adequate resources to continue in operational existence for the foreseeable future. The Company's ability to continue as a going concern is dependent upon theatres reaching prepandemic capacity via new film releases and its ability to generate positive cash flow from its operations in the future. The possible future success of the operations cannot be determined as of the date of these financial statements.

The Company is reliant on its ultimate parent, Harbor Lights Entertainment, Inc (HLE, formerly National Amusements, Inc.), to provide support to enable it to continue in business. HLE's latest financial statements contain substantial doubt about its ability to continue as a going concern which may impact the ability of the ultimate parent to continue to provide support. The Company also participates in the group's centralized treasury arrangements and so shares banking arrangements with its ultimate parent and fellow subsidiaries. The Directors, having assessed the responses of the officers of the Company's ultimate parent, believe that a material uncertainty exists that may cast significant doubt about the ability of the HLE group to continue as a going concern or its ability to continue with its current banking arrangements and to continue to support the Company. The financial statements do not include any adjustments that might result from the outcome of this uncertainty.

2. Accounting policies (continued)

2.3 Turnover

Turnover comprises of theatre admissions, concession income and related miscellaneous income, all of which are derived from activities in the United Kingdom.

Admissions and concessions income is recognised at point of sale.

Miscellaneous income is recognised in the period to which it relates.

Advance ticket and gift card sales are recorded as deferred income.

The turnover is recognised when the advance ticket and gift card sales are redeemed. Unredeemed advance ticket and gift card sales are recognized after such a period of time indicates the likelihood of redemption is remote based on historical experience.

The cost of loyalty reward is treated as a deduction from sales and part of the fair value of the consideration received is deferred and subsequently recognised over the period that the rewards are redeemed or expire. The fair value of the points awarded is determined with reference to the fair value to the customer.

2.4 Pensions

The Company operates a defined contribution plan for its employees. The contributions are recognised as an expense in the profit and loss account when they fall due. Amounts not paid are shown in accruals as a liability in the balance sheet. The assets of the plan are held separately from the Company in independently administered funds.

2.5 Taxation

The tax expense for the period comprises current and deferred tax. Tax is recognised in the Profit and loss account, except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

Current tax is the amount of income tax payable in respect of the taxable profit for the year or prior years. Tax is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the period end.

Deferred tax arises from timing differences that are differences between taxable profits and total comprehensive income as stated in the financial statements. These timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements.

Deferred tax is recognised on all timing differences at the reporting date. Unrelieved tax losses and other deferred tax assets are only recognised when it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the period end and that are expected to apply to the reversal of the timing difference.

2. Accounting policies (continued)

2.6 Intangible assets

Intangible assets resulting from favourable lease conditions are capitalised at their fair value where this can be measured reliably and amortised over the remaining term of the lease.

2.7 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

The Company has a policy to capitalise all assets purchased over £350.

Depreciation is provided to write off the cost less the estimated residual values of tangible fixed assets by equal instalments over their estimated useful economic lives.

Depreciation is provided on the following basis:

Leasehold improvements	- Shorter of useful life or life of lease
Fixtures and fittings	- 3 to 10 years

An impairment loss is recognised whenever the carrying amount of an asset or its income-generating unit exceeds its recoverable amount. Impairment losses are recognised in the profit and loss account.

2.8 Stocks

Stocks are stated at the lower of cost and net realisable value. In determining the cost of consumables and goods purchased for resale, the weighted average purchase price is used.

2.9 Financial instruments

The Company only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, accruals and loans with group.

Debtors

Short term debtors are measured at transaction price, less any impairment.

Cash and cash equivalents

Cash and cash equivalents comprises of cash in hand and deposits held at call with banks.

Creditors

Short term creditors are measured at the transaction price.

Debt instruments are initially recognised at transaction price and subsequently carried at amortised cost, using the effective interest rate method.

2. Accounting policies (continued)

2.10 Provisions for liabilities

Provisions are recognised when an event has taken place that gives rise to a legal or constructive obligation, a transfer of economic benefits is probable and a reliable estimate can be made.

Provisions are measured as the best estimate of the amount required to settle the obligation, taking into account the related risks and uncertainties.

Increases in provisions are generally charged as an expense to profit or loss.

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In the application of the Company's accounting policies, the Directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources.

Impairment of tangible fixed assets

When indicators of impairment exist, the Company determines whether the tangible fixed assets are impaired. The impairment is determined by estimating the value in use of the cash generating units to which the fixed assets are allocated, which involves making an estimate of the expected future cash flows from the cash generating units that hold the fixed assets at a determined discount rate to calculate the present value of those future cash flows.

Gift card liability

The Company estimates gift card liability based on its non-redeemed rates and redemption patterns using data accumulated over several years. Based on history if a gift card is not redeemed within five years after being purchased the likelihood of redemption is remote.

4. Turnover

An analysis of turnover by class of business is as follows:

	2024 £	*2023* *£*
Admissions	**49,868,763**	*54,611,303*
Concessions	**29,731,818**	*29,873,119*
Other	**10,353,614**	*8,070,448*
	89,954,195	*92,554,870*

NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 2 JANUARY 2025

5. Operating loss

The operating loss is stated after charging:

	2024	2023
	£	£
Hire of plant and machinery - operating leases	**9,339,284**	*10,011,010*
Hire of other assets - operating leases	**8,700,322**	*8,708,552*
Depreciation and amounts written off tangible fixed assets owned	**1,917,645**	*2,019,499*
Amortisation of intangible fixed assets	**95,044**	*207,000*

6. Auditor's remuneration

During the period, the Company obtained the following services from the Company's auditor and its associates:

	2024	2023
	£	£
Fees payable to the Company's auditor for the audit of the Company's financial statements	**38,575**	*36,750*
Fees payable to the Company's auditor in respect of:		
All non-audit services not included above	**3,000**	*2,850*

7. Employees

Staff costs were as follows:

	2024 £	2023 £
Wages and salaries	**15,956,812**	*16,924,301*
Social security costs	**1,076,157**	*1,070,241*
Cost of defined contribution scheme	**526,793**	*511,964*
	17,559,762	*18,506,506*

The Directors received no remuneration in respect of their services to the Company during the period ended 02 January 2025 *(04 January 2024: Nil)*.

The average monthly number of employees, including the Directors, during the period was as follows:

	2024 No.	2023 No.
Operations	**962**	*1,054*
Administrative and Management	**199**	*226*
	1,161	*1,280*

8. Taxation

	2024 £	2023 £
Total current tax	**-**	-
Deferred tax		
Total deferred tax	**-**	-
Taxation on profit on ordinary activities	**-**	-

8. Taxation (continued)

Factors affecting tax charge for the period

The tax assessed for the period is higher than *(2023: higher than)* the standard rate of corporation tax in the UK of 25% *(2023 : 23.52%)*. The differences are explained below:

	2024 £	*2023* *£*
Loss on ordinary activities before tax	**(1,911,324)**	*(13,009,448)*
loss on ordinary activities multiplied by standard rate of corporation tax in the UK of 25% (2024: 23.52%)	**(477,830)**	*(3,059,894)*
Effects of:		
Expenses not deductible for tax purposes	**1,386**	*740,682*
Fixed asset differences	**180,264**	*220,979*
Adjustments to brought forward values	**-**	*34,724*
Re-measurement of deferred tax for changes in tax rates	**-**	*(2,955)*
Deferred tax not recognised	**(1,342,597)**	*49,920*
Timing differences not recognised in the computation	**(36,908)**	-
Group relief surrendered/(claimed)	**1,675,685**	*2,016,544*
Total tax charge for the period	**-**	-

9. Intangible assets

	Intangible assets £
Cost	
At 5 January 2024	**4,805,003**
At 2 January 2025	**4,805,003**
Amortisation	
At 5 January 2024	**4,709,959**
Charge for the period	**95,044**
At 2 January 2025	**4,805,003**
Net book value	
At 2 January 2025	**-**
At 4 January 2024	*95,044*

Intangible assets relate to favourable lease conditions secured by the Company at the start of a lease term of a cinema in 2001. It is amortised over 23 years, which represents the lease term.

10. Tangible fixed assets

	Leasehold improvements £	Fixtures and fittings £	Total £
Cost or valuation			
At 5 January 2024	**42,367,699**	**21,033,468**	**63,401,167**
Additions	**89,744**	**109,015**	**198,759**
At 2 January 2025	**42,457,443**	**21,142,483**	**63,599,926**
Depreciation			
At 5 January 2024	**30,208,144**	**14,869,773**	**45,077,917**
Charge for the period on owned assets	**1,098,998**	**818,647**	**1,917,645**
At 2 January 2025	**31,307,142**	**15,688,420**	**46,995,562**
Net book value			
At 2 January 2025	**11,150,301**	**5,454,063**	**16,604,364**
At 4 January 2024	*12,159,555*	*6,163,695*	*18,323,250*

11. Stocks

	02 January 2025 £	*04 January 2024* £
Finished goods and goods for resale	**637,783**	*533,352*

12. Debtors

	02 January 2025 £	*04 January 2024 £*
Trade debtors	**3,965,571**	*3,195,007*
Prepayments and accrued income	**3,989,412**	*2,947,783*
	7,954,983	*6,142,790*

13. Creditors: Amounts falling due within one year

	02 January 2025 £	*04 January 2024 £*
Trade creditors	**1,518,547**	*1,285,262*
Amounts owed to group undertakings	**75,212,780**	*67,855,188*
Other taxation and social security	**2,003,134**	*947,005*
Other creditors	**3,104**	*4,686*
Accruals and deferred income	**12,099,980**	*12,363,137*
	90,837,545	*82,455,278*

Other taxation and social security includes pension contributions payable of £54,280 *(period ending 4 January 2024: £65,026).*

Deferred income includes gift card liability of £1,368,632 *(period ending 4 January 2024: £2,898,461).*

14. Creditors: Amounts falling due after more than one year

	02 January 2025 £	*04 January 2024 £*
Accruals - deferred rent	**11,967,375**	*13,029,449*

15. Provisions

	Dilapidations £
At 4 January 2024	**3,051,332**
Utilised in period	**(25,000)**
At 2 January 2025	**3,026,332**

The dilapidations provision relates to the closure of one of our Bristol cinemas in December 2023.

16. Share capital

	02 January 2025 £	*04 January 2024* £
Allotted, called up and fully paid		
100 *(period ending 4 January 2024: 100)* Ordinary shares of £0.05 each	**5**	*5*

17. Analysis of net debt

	At 5 January 2024 £	Cash flows £	At 2 January 2025 £
Cash at bank and in hand	**5,186,630**	**5,281,175**	**10,467,805**

18. Commitments under operating leases

At 2 January 2025 the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	02 January 2025 £	*04 January 2024 £*
Not later than 1 year	**9,322,998**	*9,088,452*
Later than 1 year and not later than 5 years	**33,468,502**	*35,756,262*
Later than 5 years	**55,035,474**	*61,496,375*
	97,826,974	*106,341,089*

19. Related party transactions

Exemption taken under FRS 102, section 33 to not disclose related party transactions between wholly owned members of the same group.

20. Post balance sheet events

On 7 July 2024, the shareholders of National Amusements, Inc. entered into a purchase and sale agreement with Skydance Media to sell the entirety of National Amusements, Inc. on a cash-free, debt-free basis. Subsequently, Paramount Global entered into a seperate agreement to merge with Skydance Media. These transactions were completed on 7 August 2025.

As the agreements were entered into after the balance sheet date, but before the accounts were authorised for issue, this represents a non-adjusting post balance sheet event under FRS 102. No adjustments have been made to the financial statements as a result of this event.

21. Controlling party

The Company is a subsidiary undertaking of HLE Entertainment Holdings LLC (HLE EH LLC, formerly NAI Entertainment Holdings LLC). HLE EH LLC was legally formed in September 2010 in Delaware in the United States. HLE EH LLC is a subsidiary of Harbor Lights Entertainment, Inc. (formerly National Amusements, Inc)., which is the parent undertaking of the largest group in which the results of the Company are consolidated. Harbor Lights Entertainment, Inc., is incorporated in Maryland in the United States. Harbor Lights Entertainment, Inc and HLE EH LLC are privately-held entities for which the consolidated financial statements are not available for public use.

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Our Ref: MDH/JE/SJO

30 September 2025

BY COURIER

Registrar of Companies
Companies House
Crown Way
Maindy
CARDIFF
CF14 3UZ

Dear Sir

Please find enclosed accounts on behalf of the following:

Company Name	Company No.	Year End
3C Test Limited	03261803	31 December 2024

As acknowledgement of receipt, please could you stamp and return the enclosed copy of this letter in the pre-paid envelope enclosed.

Yours faithfully

Crowe.

CROWE U.K. LLP

Email: sally.orritt@crowe.co.uk

Crowe U.K. LLP is a limited liability partnership registered in England and Wales with registered number OC307043. The registered office is at 55 Ludgate Hill, London EC4M 7JW. A list of the LLP's members is available at the registered office. All insolvency practitioners in the firm are licensed in the UK by the Insolvency Practitioners Association. Crowe U.K. LLP is a member of Crowe Global, a Swiss verein. Each member firm of Crowe Global is a separate and independent legal entity. Crowe U.K. LLP and its affiliates are not responsible or liable for any acts or omissions of Crowe Global or any other member of Crowe Global.